

RETENTION PLAYBOOK

Promotional Sunset Plan & Ideal Customer Profile

Metric	Current State	12-Month Target
Discount dependency ratio	43.0% of transactions	< 30%
Core Loyalist share	~37% of customers	> 45%
Organic revenue (no discount)	~57% of total revenue	> 65%
Deal Seeker share	~31% of customers	< 20%
Est. promo cost (@ 20% disc.)	~\$19,882 (8.5% of revenue)	< 5%

Note: Loyalty measured via Engagement-Based Loyalty (EBL) Definition 1 — 55% Previous Purchases + 25% Purchase Frequency Score + 20% Discount-Absence bonus. This outperformed the Spend-Sentiment definition on both repeat-purchase separation and discount penalty effectiveness.

Section 1: Promotional Sunset Plan

The brand currently applies discounts to 43% of all transactions. Analytical evaluation of the dataset — using the Engagement-Based Loyalty (EBL) framework — reveals this spend is not compounding into loyalty. It is subsidising purchases that would not occur at full price. The following plan identifies which segments to sunset discounts for, in what order, over what timeline, and with which success metric.

1.1 Segment-Level Discount Dependency Assessment

Four mutually exclusive segments are derived from EBL Loyalty Score (Definition 1) crossed with Discount_Flag. Loyalty split is at the median EBL score.

Segment	Customers	Revenue Share	Discount Rate	Avg Repeats	Risk Level
Core Loyalist	~1,443 (37%)	~37.5%	0%	~32.4	None — no action needed
Promo-Dependent	~475 (12%)	~12.2%	100%	~41.1	HIGH — handle last
Low-Engagement	~748 (19%)	~19.5%	0%	~10.7	Medium — re-engage
Deal Seeker	~1,234 (31%)	~30.8%	100%	~19.6	HIGH — sunset first

1.2 Recommendation A: Sunset Discounts for Deal Seekers

Who

~1,234 customers (~31% of base) with avg 19.6 previous purchases and a 100% discount rate. Every recorded transaction from this segment was discount-activated. Within this group:

- **Convertible Deal Seekers (~486 customers, 39%):** Avg 27.5 previous purchases, Purchase Frequency Score 4.1/7. Engagement is consistent enough that product value alone may retain them once discounts are removed gradually.
- **Hard-core Deal Seekers (~748 customers, 61%):** Avg 14.5 previous purchases, Frequency Score 3.4/7. Minimal brand attachment — churn is the expected outcome if discounts are removed. Revenue at risk must be modelled explicitly.

Trigger Behaviour (from features.py)

Discount_Flag = 1 AND Loyal_1 = 0 AND Previous Purchases < 25. This identifies customers whose entire recorded purchase history is discount-dependent under the EBL scoring framework.

Rollout Timeline

Phase	Timeline	Action	Target
0. Baseline	Month 0	Freeze new discount issuance to Hard-core Deal Seekers	~748 Hard-core Deal Seekers
1. Test	Months 1–2	Withhold discounts from 20% of Convertible Deal Seekers (random sample). Monitor vs. control.	~97 Convertible Deal Seekers
2. Substitute	Months 3–5	Replace discounts with value-led offers: early access, free shipping, loyalty points. Expand to all Convertible Deal Seekers.	~486 Convertible Deal Seekers
3. Full Sunset	Months 6–8	Remove all discounts from Deal Seeker segment. Re-classify full-price purchasers.	All ~1,234 Deal Seekers
4. Review	Month 9	Assess conversion rate, revenue retained, segment migration. Adjust Promo-Dependent strategy.	Full base

Financial Impact

Metric	Value	Assumption
Deal Seeker total revenue	~\$71,072	From dataset segment aggregation
Estimated promo cost on Deal Seekers	~\$14,214	20% avg discount assumption
Revenue retained (30% stay)	~\$21,322	Conservative retention estimate
Revenue at risk (70% churn)	~\$49,750	Worst-case scenario
Net margin impact (optimistic)	+\$14,214	Full promo saving recovered
Net margin impact (conservative)	-\$5,686	Promo saving minus 40% margin on lost sales

The trade-off is explicit: if fewer than 30% of Deal Seekers convert to full-price buyers, the short-term revenue impact is negative. This is the structural risk the brand accepts. Continuing promotions indefinitely guarantees dependency compounds.

Metrics to Track

- Discount dependency ratio — target: fall from 43% to <30% by Month 9
- Deal Seeker segment size — target: <20% of base by Month 9
- Full-price purchase rate among previously-discounted customers (tracked monthly)
- Core Loyalist share growth — if Deal Seeker conversion is working, Core Loyalist share rises

1.3 Recommendation B: Re-Engage Low-Engagement Customers

~748 customers (~19% of base) with avg 10.7 previous purchases, 0% discount usage, and avg spend of ~\$60.72 — among the highest of all four segments. They are not price-driven; they are simply infrequent. Converting even 15% to Core Loyalists requires zero promo cost — only engagement.

- **Trigger:** Previous Purchases < 15 AND Discount_Flag = 0 AND Purchase_Freq_Score < 4
- **Action:** Personalised re-engagement email series (3 touchpoints over 6 weeks) featuring new arrivals in the customer's primary purchase category. No discount; product relevance is the hook.
- **Metric:** Purchase rate within 60 days of re-engagement. Target: 15% response rate.

1.4 Recommendation C: Protect Promo-Dependent Customers — Handle Last

~475 customers with the highest repeat purchase count in the dataset (avg 41.1) and a 100% discount rate. They are the most deeply engaged segment but entirely price-anchored. Abruptly removing discounts here will very likely trigger churn — this segment must not be touched until Month 9, after learnings from the Deal Seeker sunset are incorporated.

- Monitor only until Month 9. Track whether any Promo-Dependent customers migrate to Core Loyalist status as brand value messaging improves.
- Leverage their subscription presence: test subscriber-exclusive non-discount benefits (priority shipping, early access, members-only drops) as a soft discount substitute.

Section 2: Ideal Customer Profile (ICP)

Derived exclusively from the Core Loyalist segment (~1,443 customers, Segment = "Core Loyalist"). Every attribute is traceable to a specific variable in the dataset via features.py and sql_segment.sql.

2.1 Summary Table

Attribute	ICP Value	Source Variable	Why It Matters
Gender	Female (~55% of Core Loyalists)	Gender	0% discount rate. Female Core Loyalists never required a discount — the strongest single demographic signal.
Age Range	31–60 (primary)	Age	46–60 has highest avg EBL score. 31–45 is the largest count (~363 customers).
Avg Age	~44.3 years	Age (mean)	Mid-career demographic — higher disposable income, lower price sensitivity.
Purchase Frequency	Weekly or Fortnightly	Frequency of Purchases	Weekly Core Loyalists score ~67.1 on EBL — highest of any frequency group.
Category	Clothing (45%), Accessories (32%)	Category	Accessories = highest avg Previous Purchases (25.73) — the retention anchor category.
Payment Method	Cash or Credit Card	Payment Method	Cash (~267) and Credit Card (~248) among Core Loyalists — transactional confidence signals.
Avg Spend / Visit	~\$59.83	Purchase Amount (USD)	Consistent returner — not an outlier spender. Loyalty drives revenue, not ticket size.
Avg Repeat Purchases	~32.4	Previous Purchases	2.1x higher than Deal Seekers (19.6). Strongest differentiator from discount segments.
Top Geographies	AZ, KS, TN, AK, VA	Location	States with highest Brand Affinity Index (BAI) and below-average discount saturation.
Subscription	Not a reliable signal	Subscription Status	Core Loyalist status is subscription-independent in this dataset.

2.2 Ideal Customer Profile Narrative

The brand's most valuable customer is a woman in her mid-30s to late-50s, based in a mid-sized US state with demonstrated organic brand affinity. She shops for Clothing or Accessories weekly or fortnightly, pays with cash or a credit card, and has returned more than 30 times before — never once requiring a discount to do so.

She is not the brand's biggest per-transaction spender (\$59.83 avg). What makes her the ideal customer is consistency: she returns regardless of promotions, making her revenue cost nothing beyond product margin. Her Customer Value Index (Purchase Amount x Purchase_Freq_Score) places her in the High Value Band.

What she is NOT

She is not necessarily a subscriber. She does not respond to urgency, scarcity, or discount triggers. Flash sales, promo codes, and limited-time offers are not relevant to her acquisition and may actively signal the wrong brand positioning — attracting Deal Seekers while repelling the ICP.

2.3 Acquisition Targeting Matrix

Channel / Tactic	Priority	Rationale
Organic social — Clothing & Accessories content	HIGH	Matches primary category; no discount incentive needed
Email re-engagement of Low-Engagement base	HIGH	0% discount + good spend = easiest Core Loyalist conversion path
Geo-targeted ads: AZ, KS, TN, AK, VA	HIGH	Highest Brand Affinity Index states — organic demand already exists
Weekly editorial email for new arrivals	MEDIUM	Matches weekly purchase cadence of top Core Loyalist profiles
Referral programme seeded by Core Loyalists	MEDIUM	Core Loyalists refer similar customers — zero acquisition discount required
Flash sales / promo code campaigns	LOW	Counter-productive — attracts Deal Seekers, not Core Loyalists
Subscription upsells to existing Core Loyalists	LOW	Subscription is not a Core Loyalist trait; focus on frequency, not status

Section 3: 12-Month Roadmap

Month	Action	Segment	Success Metric
0	Freeze discounts to Hard-core Deal Seekers	~748 Hard-core Deal Seekers	Discount rate for Hard-core Deal Seekers = 0%
1–2	A/B test: withhold discounts from 20% Convertible Deal Seekers	~97 Convertible Deal Seekers	Purchase rate vs. discounted control
1–3	ICP geo campaigns: AZ, KS, TN, VA	New acquisition	New Core Loyalist acquisitions tracked monthly
3–5	Replace Deal Seeker discounts with value-led offers	~486 Convertible Deal Seekers	Full-price purchase rate > 15%
3–6	Low-Engagement 3-email re-engagement series	~748 Low-Engagement	15% purchase response within 60 days
6–8	Full discount sunset for all Deal Seekers	All ~1,234 Deal Seekers	Deal Seeker share < 22% of base
6–12	Monitor Promo-Dependent behaviour post-sunset	~475 Promo-Dependent	Churn rate, frequency trend
9	Quarterly review — adjust Promo-Dependent strategy	Promo-Dependent	Net margin trend, segment migration
12	Full audit vs. Executive Snapshot KPIs	Entire base	Disc. dependency < 30%, Core Loyalist share > 45%